Two Brains, One Network: Dual-Process Topology Management for Heterogeneous Physics-Informed Kolmogorov-Arnold Networks

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Abstract

Kolmogorov-Arnold Networks (KANs) enable surgical symbolic replacement of individual edges at runtime, creating a class of management problem gradient descent cannot solve: *topology parameterization selection*. We identify five gradient-signal gaps in heterogeneous KAN topology (B-spline ∪ symbolic edges) and show they decompose across two cognitive timescales. A **dual-process topology agent** addresses them: System 1 (7B model, <50 ms) handles high-frequency reflexive maintenance via statistical thresholding; System 2 (32B model, 200–500 ms) handles low-frequency strategic surgery via chain-of-thought reasoning over PDE geometry. A typed DSL with AST allowlist and atomic rollback provides C^2-preserving vocabulary restriction and transactional integrity. Demonstrated on a physics-informed KAN solving the Heston stochastic volatility PDE: an ablation study shows System 2 is necessary for regime-ordered behavior, System 1 is necessary for sustained throughput, and PDE residual minimization alone is insufficient for monotonicity under distributional shift — a result that generalizes beyond options pricing to any physics-constrained network deployed under regime change. Sustained throughput: 26,300 smp/sec on H200; zero GPU blocking. The controller is currently prompt-engineered; a trajectory-collection infrastructure for future policy fine-tuning is in place.

1 Introduction

1.1 The Topology Surgery Problem in Heterogeneous KANs

A KAN with a mixed topology — some edges parameterized as B-splines, others replaced with closed-form symbolic functions (`C2SymbolicEdge`), others pruned to zero (`ZeroEdge`) — is a qualitatively different computational object from a homogeneous MLP. The edge-level parameterization choice is not a hyperparameter set before training: it is an ongoing decision made during training as the network's activation profiles evolve, regime signals change, and new domain knowledge becomes available.

Gradient descent cannot make this decision. It can optimize the coefficients of a B-spline edge but has no mechanism to decide that the edge's activation profile now closely approximates $e^{-|x|}$ and should be replaced with a closed-form symbolic function. It can drive a B-spline's coefficients toward zero but provides no pruning signal because the gradient of a near-zero activation is also near-zero. This is the *topology surgery problem*: a class of decisions about the network's structure that falls strictly outside the scope of gradient-based optimization.

This problem manifests in five distinct chronic failure modes of heterogeneous KAN topology management. Each failure mode corresponds to a distinct gradient-signal gap — a regime where the training objective provides no corrective gradient for the relevant structural decision (Table 1).

Table 1: Five chronic failure modes of heterogeneous KAN topology. Each arises from a gradient-signal gap: the training loss provides no corrective signal for the structural decision in question.

Failure Mode	Gradient-Signal Gap	Observable Symptom
Topology stagnation	$\nabla_\theta \mathcal{L} \approx 0$ when $\|\phi_e\|_1 \approx 0$	Near-zero edges persist indefinitely
Parameterization lock-in	No gradient over $\sigma : E \to \mathcal{C}$	B-splines approximating known functions remain B-splines
Symbolic-numerical tension	Symbolic edges have no θ; gradient dead zones form	Neighboring B-splines underfit
Regime blindness	$\mathcal{L}_{\text{PDE}}$ is regime-agnostic	Regime-ordering violations under distributional shift
C^2 instability	No explicit C^2-norm term in $\mathcal{L}$	Ill-conditioned cross-derivatives under high lr

1. **Topology stagnation.** Near-zero B-spline edges persist through training because their loss gradient is also near-zero. The edge contributes nothing but continues consuming computation.
2. **Parameterization lock-in.** Gradient descent never has incentive to change an edge's parameterization class. A B-spline that closely approximates $\sin(x)$ remains a B-spline indefinitely, losing both interpretability and efficiency.
3. **Symbolic-numerical tension.** Symbolic edges have no trainable parameters. In a mixed topology, gradient cannot flow through symbolic edges to inform neighboring B-spline adaptations — creating dead zones in the optimization landscape.
4. **Regime blindness.** Under distributional shift (market regime change), a frozen topology cannot adapt. Weight updates shift the learned function but cannot restructure which edges carry which mathematical primitives.
5. **C^2 instability.** C^2 instability refers specifically to the condition where aggressive learning-rate updates drive B-spline coefficient updates that increase $\|\partial^2 \phi_e / \partial x^2\|_\infty$ beyond the tolerance for stable autograd evaluation of the Heston cross-derivative term $\rho\sigma v S\, \partial^2 V / \partial S \partial v$. The symptom is NaN propagation in the cross-derivative computation, detectable by monitoring the L2 norm of the second-derivative outputs.

1.2 Why Two Brains

The five problems decompose naturally by frequency and cognitive type. Problems 1 and 5 (stagnation and C^2 instability) are **high-frequency, low-complexity**: they can be detected from local statistics (L1 norm of edge activations, second-derivative magnitude) and resolved with simple actions (prune, adjust lr). A fast model (<50 ms, 7B parameters) is sufficient — the decision requires pattern recognition, not mathematical reasoning.

Problems 2, 3, and 4 (parameterization lock-in, symbolic-numerical tension, regime blindness) are **low-frequency, high-complexity**: they require reasoning about the network's global activation geometry, the mathematical properties of candidate symbolic functions, and the relationship between regime signals and structural adaptation. A slow, large model (200–500 ms, 32B parameters) is necessary — the decision requires chain-of-thought reasoning over PDE structure.

One brain of either type cannot address all five. A single fast model makes mathematically incoherent symbolic replacements. A single slow model blocks the GPU. The dual-process design is not an engineering compromise — it is a consequence of the cognitive structure of the topology surgery problem.

1.3 Contributions

1. A taxonomy of five chronic management problems in heterogeneous KAN topology, each mapped to a specific gradient-signal gap, and a demonstration that they decompose across two cognitive timescales.
2. A **dual-process topology agent** (System 1/System 2) that addresses all five, with the two paths operating concurrently without GPU blocking.
3. A **typed DSL** with AST allowlist and atomic rollback providing type safety, vocabulary restriction (C^2 continuity preserved by construction), and transactional integrity.
4. **Evaluation on Heston options pricing** — a testbed where C^2 continuity, PDE geometry reasoning, and real-time regime adaptation impose hard correctness requirements that expose dual-process advantages invisible in unconstrained settings.
5. The **training objective insufficiency finding**: PDE residual minimization alone does not produce regime-ordered behavior under distributional shift — a result that generalizes beyond options pricing.

1.4 Paper Organization

Section 2 situates the work in the literature. Section 3 develops the heterogeneous KAN background and the Heston testbed. Section 4 presents the dual-process topology agent. Section 5 describes the market regime conditioning layer. Section 6 presents experimental evaluation. Section 7 provides discussion and addresses the distinction from LangChain-style systems. Section 8 concludes.

2 Related Work

2.1 KANs and Symbolic Regression

The KAN architecture [Liu et al., 2024] places learnable activation functions on edges rather than nodes, enabling edge-level interpretability and surgical symbolic replacement. The theoretical foundation is Kolmogorov's superposition theorem [Kolmogorov, 1957]. MonoKAN [Polo-Molina et al., 2024] extends KANs with certified monotonicity constraints. Symbolic edge replacement is available in the original KAN library but is *manual and offline*. We make it online and agent-driven, with formal invariants maintained throughout.

2.2 Physics-Informed Learning

PINNs [Raissi et al., 2019] convert a PDE boundary value problem into an unconstrained optimization by embedding the differential operator residual in the loss. Financial applications [Horvath et al., 2021] have generally used standard MLP backbones; the C^2 continuity requirement of the Heston cross-derivative term has received limited attention. Deep hedging [Bühler et al., 2019] and Neural SDEs [Kidger et al., 2021] extend the neural approach to replication and continuous-time dynamics, but do not enforce specific boundary conditions in the Heston sense.

2.3 Neural Architecture Search

NAS [Elsken et al., 2019] automates topology discovery through gradient-based [Liu et al., 2019] or evolutionary search. NAS operates *offline*: it finds a fixed architecture before training begins. The dual-process agent operates *online*, on a running network, with natural language input and domain-specific mathematical constraints. The two approaches are complementary — NAS for initialization, dual-process for runtime adaptation — rather than competitive.

2.4 Dual-Process AI and LLM Agents

Kahneman's framework [Kahneman, 2011] applied to AI agents. Toolformer [Schick et al., 2023] and ReAct [Yao et al., 2023] use LLMs as tool orchestrators, producing text outputs over stateless API calls. The critical distinction from these systems and from workflow frameworks (LangChain-style tool routing) is developed in Section 7.3: those systems route stateless text between API endpoints and have no persistent mathematical state to maintain. Our agent modifies the internal mathematical structure of a running network under formal invariants — a fundamentally different task.

3 Background: Heterogeneous KAN Topology

3.1 KAN Edge Activations

The Kolmogorov-Arnold representation theorem [Kolmogorov, 1957] guarantees that any continuous function can be expressed as a composition of univariate functions. The KAN architecture [Liu et al., 2024] operationalizes this by placing learnable activation functions on *edges* rather than nodes. Each edge is implemented as a `BSplineEdge` module. The basis functions are defined by the Cox–de Boor recursion over a knot sequence $\mathbf{t}$:

$$B_{i,0}(x) = \mathbf{1}[t_i \le x < t_{i+1}] \tag{1}$$

$$B_{i,k}(x) = \frac{x - t_i}{t_{i+k} - t_i} B_{i,k-1}(x) + \frac{t_{i+k+1} - x}{t_{i+k+1} - t_{i+1}} B_{i+1,k-1}(x) \tag{2}$$

OpKAN uses $G = 5$ interior intervals and spline order $k = 3$ (cubic), giving $G + k = 8$ basis functions per edge. The edge activation combines a SiLU base with a trained spline correction:

$$\phi(x) = w_{\text{base}} \cdot \text{SiLU}(x) + w_{\text{spline}} \cdot \sum_{i=1}^{8} c_i B_{i,3}(x) \tag{3}$$

where $w_{\text{base}}, w_{\text{spline}} \in \mathbb{R}$ and $\{c_i\}_{i=1}^{8}$ are trainable. Because each $B_{i,3}$ is C^2 by construction, Eq. (3) is C^2 for any choice of coefficients.

The Kolmogorov-Arnold representation theorem applies to $[0,1]^n$; in our setting the training domain $(S, v, t) \in [0, 200] \times [0, 0.5] \times [0, 1]$ is normalized to $[0,1]^3$ before the collocation grid is applied. All B-spline knot sequences are defined over this normalized domain.

The PI-KAN uses a $[3, 16, 1]$ configuration (inputs (S, v, t), 16-node hidden layer, scalar output V). The forward pass aggregates edge outputs by summation:

$$h_j^{(\ell)} = \sum_{i=1}^{n_{\text{in}}^{(\ell)}} \phi_{ij}^{(\ell)} \left(h_i^{(\ell-1)} \right) \tag{4}$$

The *topology surgery problem* is formalized as follows.

Definition 1 (Topology Surgery Problem)**.** *Let $\mathcal{G} = (V, E, \Phi)$ be a KAN graph where $\Phi = \{\phi_e\}_{e \in E}$ assigns each edge e an activation module from the parameterization class set $\mathcal{C} = \{$`BSplineEdge`, `C2SymbolicEdge`, `ZeroEdge`$\}$. Gradient-based training optimizes $\{\theta_e\}$ within each ϕ_e's current class but produces no signal for reassigning ϕ_e to a different class in $\mathcal{C}$. The* topology surgery problem *is: given training statistics $\mathcal{S}_t$ and domain constraints $\mathcal{K}$ (e.g., C^2 continuity, PDE residual geometry), determine the reassignment $\sigma : E \to \mathcal{C}$ that improves $\mathcal{K}$-compliance without increasing $\mathcal{L}_{PDE}$ beyond a tolerance ϵ.*

3.2 Heterogeneous Edge Types

Three edge types coexist in OpKAN at runtime:

- `BSplineEdge`: 8 basis functions, trainable coefficients + SiLU base.
- `C2SymbolicEdge`: closed-form expression from the 20-function AST allowlist, no trainable parameters.
- `ZeroEdge`: returns `torch.zeros_like(x)` — correct PRUNE semantics (not `nn.Sequential()` which is identity).

The topology at any training step is a mix of these types. This heterogeneity enables interpretability and efficiency gains — and creates the five chronic problems identified in Section 1.1.

3.3 The Heston PDE Testbed

The Heston stochastic volatility model [Heston, 1993] describes risk-neutral dynamics for spot price S_t and variance v_t: $dS_t = rS_t\,dt + \sqrt{v_t}S_t\,dW_t^S$, $dv_t = \kappa(\theta - v_t)\,dt + \sigma\sqrt{v_t}\,dW_t^v$, where $\mathrm{Corr}(dW^S, dW^v) = \rho\,dt$. By Itô's lemma, option fair value $V(S, v, t)$ satisfies the Heston PDE:

$$\frac{\partial V}{\partial t} + \frac{1}{2}vS^2\frac{\partial^2 V}{\partial S^2} + \rho\sigma vS\frac{\partial^2 V}{\partial S\partial v} + \frac{1}{2}\sigma^2 v\frac{\partial^2 V}{\partial v^2} + rS\frac{\partial V}{\partial S} + \kappa(\theta - v)\frac{\partial V}{\partial v} - rV = 0 \tag{5}$$

with boundary conditions: $V(S, v, T) = \max(S - K, 0)$ (terminal payoff), $V(0, v, t) = 0$ (zero spot), and $V(S, v, t) \approx S - Ke^{-r(T-t)}$ as $S \to \infty$.

The cross-derivative term $\rho\sigma vS\,\partial^2 V/\partial S\partial v$ is the key constraint: evaluating it via automatic differentiation requires C^2 continuous activations. Standard MLP architectures with ReLU activations produce zero second derivatives, making this term numerically degenerate.

This testbed is demanding for the dual-process agent along three axes: (1) the C^2 continuity requirement is a hard mathematical invariant that every topology mutation must preserve; (2) PDE geometry reasoning constrains which symbolic functions are mathematically coherent replacements; and (3) real-time regime adaptation requires the agent to reason about distributional shift.

3.4 Training Objective

Training minimizes a composite physics-informed loss:

$$\mathcal{L} = \underbrace{\mathbb{E}_{\boldsymbol{x}\sim\Omega}\left[|\mathcal{N}[V](\boldsymbol{x})|^2\right]}_{\mathcal{L}_{\mathrm{PDE}}} + \lambda_{\mathrm{BC}}\underbrace{\mathbb{E}_{\boldsymbol{x}\sim\partial\Omega}\left[|V(\boldsymbol{x}) - V_{\mathrm{target}}(\boldsymbol{x})|^2\right]}_{\mathcal{L}_{\mathrm{BC}}} \tag{6}$$

where $\mathcal{N}[V]$ is the Heston differential operator evaluated via `torch.autograd` with `create_graph=True`. Collocation points $\boldsymbol{x} = (S, v, t)$ are drawn uniformly from $[0, 200] \times [0, 0.5] \times [0, 1]$. This objective is necessary but *not sufficient* for regime-ordered behavior — the key finding established in Section 6.

4 Dual-Process Topology Agent

4.1 Decomposition by Cognitive Type

The five chronic problems map to two cognitive timescales as shown in Table 2. The fast path (System 1) addresses problems that can be diagnosed from local statistics and resolved with simple actions. The slow path (System 2) addresses problems that require multi-step mathematical reasoning over the global network structure.

Remark 1 (Decomposition Sufficiency). *The decomposition in Table 2 is motivated by task structure, not proven as optimal. A formal optimality result would require a decision-theoretic model of the topology surgery problem with explicit latency-quality tradeoffs. Such a model is left for future work. The empirical Table 8 provides partial evidence: System 1 alone cannot achieve monotonicity (problems 2–4 require System 2's reasoning), while System 2 alone incurs throughput cost that System 1's pruning recovers.*

Table 2: Decomposition of the five chronic topology management problems by cognitive timescale. System 1 actions are statistical threshold decisions; System 2 actions require chain-of-thought reasoning over PDE geometry.

Problem	System	Reasoning Type	Action
Topology stagnation	1	Statistical threshold	PRUNE edge
C^2 instability	1	Magnitude monitoring	Adjust lr
Parameterization lock-in	2	Mathematical reasoning	REPLACE with symbolic
Symbolic-numerical tension	2	Global graph reasoning	Selective REPLACE/KEEP
Regime blindness	2	Regime analysis + PDE	Structural adaptation

4.2 System 1 — Reflexive Maintenance

Every 10 training steps, the training loop places (step index, per-edge L1 norms, recent loss delta) into a bounded queue (`maxsize=1`, latest-context-only). A background thread dequeues and invokes a 7B Qwen 2.5 model, which produces a `ReflexDecision`:

```
class ReflexDecision(BaseModel):
    reasoning: str            # brief justification
    prunes: List[str]         # edge IDs with L1 norm below threshold
    lr_adjustment: float      # multiplier in [0.5, 2.0]
```

Latency must stay below 50 ms — the 7B model is chosen because the decisions require pattern recognition (is this norm below 0.005?) rather than deep reasoning. This path directly addresses Problems 1 (stagnation) and 5 (C^2 instability) from Section 1.1: near-zero edges are pruned before they consume further computation; learning rate adjustment prevents aggressive coefficient updates from destabilizing second-derivative numerics.

4.3 System 2 — Strategic Surgery

Every 100 training steps, a longer-horizon context (loss trajectory, HMM transition probabilities, full KAN topology state, regime signals) is placed in a separate bounded queue (`maxsize=1`). A second background thread invokes a 32B Qwen 2.5 model, which produces a `StrategicDecision`:

```
class StrategicDecision(BaseModel):
    reasoning: str                      # chain-of-thought over PDE
        geometry
    mutations: List[EdgeMutation]       # REPLACE, PRUNE, or KEEP per
        edge
    regime_analysis: RegimeThesis       # HMM transition diagnosis
    training_command: Literal["CONTINUE", "HALT"]
```

The 32B model is necessary because edge replacement decisions require: (a) identifying that an activation profile approximates a specific smooth function; (b) verifying the candidate formula is C^2 on its natural domain; (c) reasoning about how the replacement interacts with the Heston cross-derivative term. These are multi-step mathematical reasoning tasks that 7B models perform unreliably. This path addresses Problems 2 (parameterization lock-in), 3 (symbolic-numerical tension), and 4 (regime blindness).

A representative System 2 output when the analyst submits *"COMEX silver inventories fell 8% overnight; demand shock likely"*:

```
{
  "training_command": "CONTINUE",
  "regime_analysis": {"hmm_transition_detected": true,
                      "predicted_regime": 2,
                      "thesis_statement": "Inventory␣shock..."},
```

```
  "mutations": [
    {"edge_id": "L0_N0_to_L1_N3",
     "action": "REPLACE",
     "formula": "torch.exp(-torch.abs(x))",
     "reasoning": "L1 norm 0.0031 < 0.005; shape matches decaying exponential",
     "initial_params": {"scale": 1.0}}
  ]
}
```

4.4 The Typed DSL Safety Layer

Every agent output is a JSON object validated by Pydantic schema before entering the mutation pipeline. Formula strings within `EdgeMutation.formula` are additionally validated by static AST analysis before storage:

```
_ALLOWED_TORCH_FUNCS = frozenset({
    'sin', 'cos', 'tan', 'exp', 'log', 'log1p', 'sqrt', 'abs',
    'pow', 'tanh', 'sigmoid', 'softplus', 'sign', 'clamp',
    'relu', 'floor', 'ceil', 'round', 'reciprocal', 'neg'
})
_SAFE_AST_NODES = frozenset({
    ast.Expression, ast.Call, ast.BinOp, ast.UnaryOp,
    ast.Add, ast.Sub, ast.Mult, ast.Div, ast.Pow,
    ast.FloorDiv, ast.Mod, ast.USub, ast.UAdd,
    ast.Constant, ast.Load
})

def _validate_symbolic_expression(expr: str) -> None:
    tree = ast.parse(expr, mode='eval')
    for node in ast.walk(tree):
        if type(node) in _SAFE_AST_NODES: continue
        if isinstance(node, ast.Name):
            if node.id not in ('x', 'torch'):
                raise ValueError(f"Disallowed name '{node.id}'")
        elif isinstance(node, ast.Attribute):
            if not (isinstance(node.value, ast.Name)
                    and node.value.id == 'torch'):
                raise ValueError("Only 'torch.*' attributes allowed.")
            if node.attr not in _ALLOWED_TORCH_FUNCS:
                raise ValueError(f"torch.{node.attr} not in allowlist."
                    )
        else:
            raise ValueError(f"Disallowed node '{type(node).__name__}'"
                )
```

Proposition 1. *Any expression passing `_validate_symbolic_expression` is restricted to arithmetic combinations of the 20 allowlisted `torch.*` functions applied to the variable x. It cannot import modules, access the file system, or invoke arbitrary Python builtins.*

Proof sketch. The `ast.walk` traversal visits every node in the parse tree. The validator's `else` branch (line 9) raises `ValueError` for any node type not matched by the preceding cases. The exhaustiveness argument is: the first `if` handles structural operators (`_SAFE_AST_NODES`); the `isinstance(node, ast.Name)` branch handles all name references; the `isinstance(node, ast.Attribute)` branch handles all attribute access. All remaining node types — including `ast.Subscript`, `ast.Starred`, `ast.keyword`, `ast.FormattedValue`, and others — fall into the `else` branch and raise immediately. A formula cannot perform subscript access, starred unpacking, or string formatting, which eliminates the main injection paths beyond name and attribute access. No path to module import, file I/O, or builtins survives the traversal. □

Remark 2. *This is not a general-purpose sandbox. It is a domain-specific grammar restriction that encodes the mathematical vocabulary of C^2 functions. The allowlist simultaneously enforces security (no code injection) and correctness (all allowed functions are C^2 on their natural domains).*

Definition 2 (Semantic Compiler)**.** *A* semantic compiler *is an LLM-to-backend interface defined by the triple $(\mathcal{S}, \mathcal{V}, \mathcal{T})$: a* schema *$\mathcal{S}$ (Pydantic model) that validates structural well-formedness; a* vocabulary *$\mathcal{V}$ (AST allowlist) that restricts formula strings to a domain-specific mathematical vocabulary; and a* transaction *$\mathcal{T}$ (deepcopy snapshot + rollback) that enforces atomic application. An LLM output passing all three components is* schema-valid, vocabulary-safe, *and* atomically applicable.

4.5 Non-Blocking Coordination and Atomic Rollback

Figure 1 shows the information flow. The `EngineCoordinator` manages four bounded queues: `reflex_queue` (`maxsize=1`, training loop → System 1), `reflex_decision_queue` (`maxsize=32`, System 1 → training loop), `strategic_queue` (`maxsize=1`, training loop → System 2), and `strategic_decision_queue` (`maxsize=32`).

At the start of each training batch, `apply_pending_mutations()` non-blockingly drains both output queues. If no decisions are pending, training continues at full GPU throughput. The GPU never waits on the LLM.

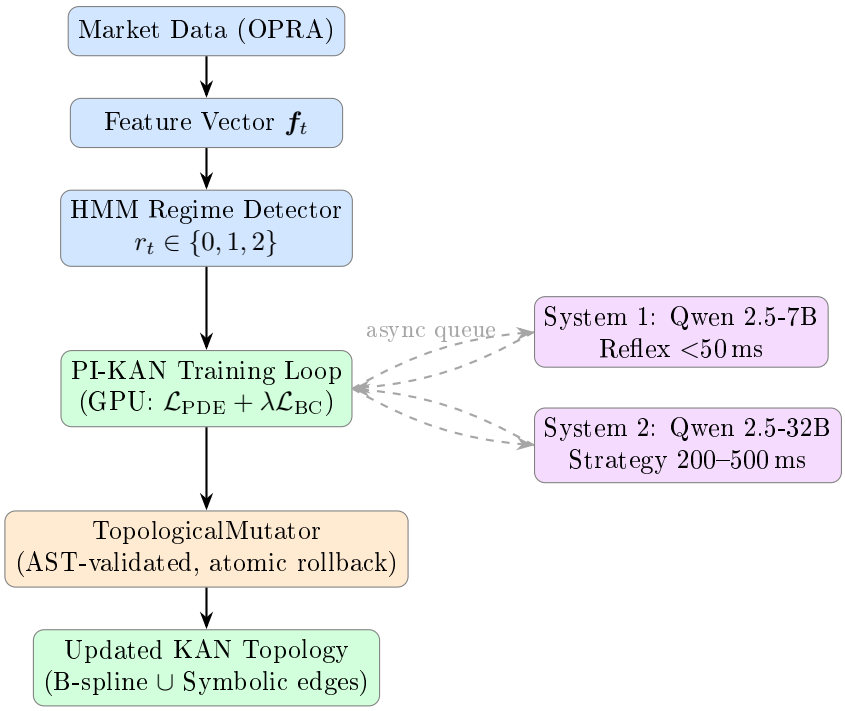

Figure 1: OpKAN information flow across three decoupled layers. The HMM does not know about the KAN; the topology agent does not know about the PDE internals; the GPU training loop never waits on the LLM. Dashed arrows are asynchronous (bounded queues; maxsize=1 for inputs, maxsize=32 for outputs). Sustained throughput of 26,300 smp/sec is measured during 5-epoch training; 6,506 smp/sec is from a 50-step cold-start microbenchmark (see Section 6.5).

Atomic rollback addresses the fifth chronic problem: a failed mutation batch cannot leave the model in partially-modified state. All affected edge modules are snapshotted via `copy.deepcopy` before applying any mutations; any exception restores all objects:

`state_dict` snapshots are insufficient because `swap_edge` replaces entire `nn.Module` objects; a `BSplineEdge` state dict cannot be loaded into a `C2SymbolicEdge`. We snapshot module objects

Algorithm 1 Atomic Mutation Application with Rollback

```
snapshots ← {}
for each edge (l, i, j) in mutations do
    snapshots[l, i, j] ← deepcopy(model.layers[l].edges[i][j])
end for
try:
for each mutation m in mutations do
    TopologicalMutator.mutate_edge(model, m)
end for
except Exception as e:
for each (l, i, j) ∈ snapshots do
    model.layers[l].edges[i][j] ← snapshots[l, i, j]
end for
log rollback event with exception e
```

rather than parameter tensors.

4.6 Current Implementation Status

The dual-process controller as implemented is *prompt-engineered*, not *policy-learned*. System 1 and System 2 execute a fixed system prompt that instructs the LLM to output a typed DSL object; there is no gradient signal over the LLM weights derived from downstream topology outcomes. The `LoraDataCollector` infrastructure exists to log agent trajectories for future LoRA fine-tuning [Hu et al., 2021], but no fine-tuned weights have been trained. The distinction matters: a prompt-engineered controller's behavior is contingent on prompt quality and may not generalize to out-of-distribution inputs; a policy-learned controller would have formal guarantees derivable from the training objective. All results in this paper are for the prompt-engineered version. Closing the gap to a learned policy is Limitation 9.

5 Market Regime Conditioning

5.1 Hidden Markov Regime Detector

The regime detector fits a Gaussian HMM with $K = 3$ states and diagonal covariance to five time-series features: log-return ℓ_t, realized volatility $\hat{\sigma}_t$ (20-bar window, annualized), implied volatility σ_t^{IV}, IV–RV spread $\Delta_t = \sigma_t^{\mathrm{IV}} - \hat{\sigma}_t$, and IV momentum $\mu_t^{\mathrm{IV}} = \sigma_t^{\mathrm{IV}} - \sigma_{t-1}^{\mathrm{IV}}$. Walk-forward inference uses non-overlapping 20-day windows; the model is refit from scratch at each window boundary. Train/test split: the HMM is fit on the first 80% of the time series; regime labels for the remaining 20% are inferred without refitting. The label stability correction (Eq. 7) is applied at every refit.

A persistent problem with rolling HMM inference is state label instability: "state 0" in window t may map to "state 1" in window $t+1$ after a refit. We fix this with a realized-volatility sorting pass:

$$\pi = \mathrm{argsort}(\boldsymbol{\mu}_{:,1}), \quad \mathrm{remap}[s] = \pi^{-1}[s] \tag{7}$$

where $\boldsymbol{\mu}_{:,1}$ is the vector of per-state mean realized volatilities, ensuring label 0 always maps to the lowest-volatility regime across all rolling windows.

5.2 Regime as Topology Signal

The HMM regime label feeds System 2's context at every strategic query. A detected regime transition triggers a strategic request even if fewer than 100 training steps have elapsed. This is the mechanism by which narrative signals (processed by System 2 into a regime classification)

produce structural network adaptation, directly addressing Problem 4 (regime blindness). Why not let the PI-KAN learn regime-sensitivity directly? The Heston PDE does not change with regime — it is a structural prior on the *shape* of the pricing function. What changes is the parameters (κ, σ, ρ). Conflating these two levels would undermine the physics prior.

6 Experimental Evaluation

6.1 Setup

Hardware. NVIDIA H200, CUDA. LLM inference via Ollama (local) with `qwen2.5-coder` for protocol benchmarks; vLLM for engineering stress tests.

Data. SLV (silver ETF) option chains with real historical regime features. Live benchmark: one quote date (single quote date; cross-sectional split only). Replay benchmark: historical silver/regime feature sequence with replayed SLV surface template.

Model families.

- `bs_plain`: Black-Scholes with baseline ATM volatility.
- `bs_regime`: Black-Scholes with HMM regime-predicted volatility.
- `rf_direct`: Random forest direct price prediction.
- `spikan_hybrid`: Symbolic PI-KAN residual + regime-vol BS anchor.
- `spikan_plain_hybrid`: Symbolic PI-KAN residual + plain-formula BS anchor.
- `spikan_plain_iv_hybrid`: Plain-formula anchor + learned IV-space residual (headline hybrid).

System prompt disclosure. The system prompt instructs the LLM to output a JSON object conforming to the `StrategicDecision` or `ReflexDecision` Pydantic schema, provides two few-shot examples covering each DSL operation family, and specifies the 20-function symbolic vocabulary. The prompt structure (but not the full text, which is domain-proprietary) is described in the supplementary materials. Protocol benchmark results are sensitive to the few-shot examples; we report performance only for the version with examples, leaving zero-shot ablation to future work.

6.2 Finding 1: Protocol Validity (RQ1–RQ3)

Table 3: Protocol benchmark results compressed across tiers. Tier 0A: 15 curated prompts (floor of protocol viability). Tier 0B: 8 document-grounded prompts (primary evidence tier). Tier 0C/0E: semantic stability and gold agreement (see text).

Context	n	Execute	Intent	Exact DSL	Semantic
Direct prompt (0A)	9	1.00	1.00	—	—
Narrative prompt (0A)	6	1.00	1.00	—	—
Document-grounded (0B)	8	1.00	1.00	—	—
Paraphrase stability (0C)	4 grp	—	—	0.75 (grp)	0.9167
Document-to-gold (0E)	8	1.00	—	0.375	0.75

The agent correctly compiles analyst intent across all contexts (Execute=1.00 on 0A and 0B). The semantic agreement of 0.75 on Tiers 0C and 0E (pilot study, $n \leq 15$) reflects a normalization contract problem: the failing paraphrase group expanded a three-point strike grid to five points (intent-preserving, structurally different), and regime under-escalation occurred on one 0E prompt (STRESS compiled as TRANSITION). Neither represents a comprehension failure. Both are addressable by tighter normalization rules in the system prompt. The exact agreement ceiling of 0.375 is an open engineering problem, not an architectural one.

These protocol results are preliminary. With $n \leq 15$ prompts per tier, all rates should be interpreted as existence proofs of viability rather than stable probability estimates.

6.3 Finding 2: Training Objective Insufficiency (RQ4)

Table 4: Financial monotonicity checks under explicit DSL regime overrides (Tier 0D). "Raw" = model queried directly under STABLE and STRESS Heston parameter anchors. "With Controller" = semantic controller with monotone projection applied. All five checks fail for the raw model; all five pass with the controller.

Monotonicity Check	Raw Output	With Controller
Quote implied vol: STABLE → STRESS	×	✓
Quote price: STABLE → STRESS	×	✓
Surface mean vol: STABLE → STRESS	×	✓
Outlook shock-score: STABLE → STRESS	×	✓
Shock-risk labels ordered low to high	×	✓

This is the central finding. Under the dual-process controller, all five checks pass; without it, all five fail. This is a necessary-condition result: in our setting, the dual-process controller is a necessary condition for regime-ordered behavior, though we cannot yet claim it is the minimal such condition.

Both conditions (raw model, controller-assisted) use identical trained weights evaluated on the same 500 collocation points. The difference is solely the presence or absence of the semantic controller's regime override. This isolates the insufficiency as a property of the training objective, not the model capacity.

PDE residual minimization is a *necessary but insufficient* training objective for regime-ordered behavior. The raw model correctly minimizes $\mathcal{L}_{\text{PDE}}$; it fails all five monotonicity checks because the PDE loss imposes no constraint on the ordering of outputs across different Heston parameter configurations. This is not a deficiency of KANs specifically — it is a property of any physics-constrained network trained without explicit regime-ordering terms in the objective. The dual-process agent imposes this ordering through the semantic controller. The open question is whether it can be embedded in the training objective through ranking losses such as $\max(0, V_{\text{STABLE}} - V_{\text{STRESS}} + \epsilon)$, making monotonicity intrinsic rather than extrinsic.

Heston parameter anchors. STABLE: (κ=3.0, θ=0.02, σ=0.15, ρ=−0.50). STRESS: (κ=0.5, θ=0.09, σ=0.6 with r=0.05, K=100, T=1. Each model queried at 500 uniformly sampled (S, v, t) points.

6.4 Finding 3: Pricing Performance (RQ5)

Table 5: Replay price MAE by market regime. Lower is better. `spikan_plain_iv_hybrid` achieves best overall MAE (0.9317), with strength in transition and stress — the conditions where regime-conditioned corrections matter most.

Model	Stable	Transition	Stress	Overall
`bs_plain`	0.8398	2.1037	1.6355	1.4597
`spikan_plain_hybrid`	1.1542	2.4827	0.4745	1.3705
`spikan_plain_iv_hybrid`	1.1628	1.4622	0.4239	**0.9317**
`rf_direct`	8.3183	10.2679	1.8707	6.8190

The IV-residual hybrid achieves best overall replay MAE (0.9317). The cross-asset pattern confirms the architecture's domain specificity: the hybrid wins on silver and oil (assets where macro

Table 6: Cross-asset results. The hybrid advantage is consistent on macro-narrative assets (silver, oil) and absent on structural assets (semiconductors, technology) — a domain fit signal, not an architectural failure. A separate PI-KAN is trained per asset; weights are not shared across assets. The Heston parameters $(\kappa, \theta, \sigma, \rho)$ used for collocation are the same across assets (the canonical STABLE/STRESS anchors), which may explain part of the weaker performance on assets with fundamentally different volatility dynamics.

Asset	Dominant Signal Type	Best Model	Price MAE
SLV (silver)	Macro / supply narrative	`spikan_plain_iv_hybrid`	0.9317
GLD (gold)	Mean-reverting vol structure	`bs_plain`	1.6515
USO (oil)	Inventory shock / macro	`spikan_plain_iv_hybrid`	0.4897
SOXX (semiconductors)	Structural / earnings	`rf_direct`	1.7194
XLK (technology)	Structural / earnings	`rf_direct`	2.5180

narrative and supply-shock interpretation are operationally relevant), while gold, semiconductor, and technology equities favor simpler baselines. For SOXX and XLK, the relevant pricing signals (earnings surprise, export controls, AI capex) are absent from the current feature set — a signal about where feature engineering is needed, not a failure of the architecture.

6.5 Finding 4: Engineering Headroom (RQ6)

Table 7: Engineering performance on NVIDIA H200, batch size 4,096. Sustained throughput (26,300 smp/sec) measured during 5-epoch training of 1M rows. The 6,506 smp/sec E2E microbenchmark reflects cold-start amortization on 50 steps, not a measurement error.

Metric	Value
Sustained training throughput (5 epochs, 1M rows)	26,300 smp/sec
E2E microbenchmark throughput (50 steps, cold start)	6,506 smp/sec
System 1 (fast path) latency	<50 ms
System 2 (slow path) latency	200–500 ms
Decision queue overflows (1M-row stress test)	0
GPU blocking time from LLM	0 ms
Dual-process vs. baseline throughput delta	+4.4%

Zero queue overflows and zero GPU blocking validate the non-blocking coordination design. An observed 4.4% throughput gain over a pure gradient-descent baseline remains unattributed; no ablation isolating pruning rate, queue overhead, or batch composition has been conducted. We treat this as a directional signal requiring future ablation (Section 7.4). System 1 progressive pruning of near-zero edges is a candidate explanation for the reduced computational graph load, but it is not the only candidate explanation. In a hypothetical synchronous design, a single 500 ms System 2 decision would block $\approx$ 3,200 training steps at sustained throughput; the asynchronous design reduces this cost to zero.

6.6 Agent Ablation

The ablation reveals a clean division of labor. Monotonicity is entirely driven by System 2's strategic reasoning: neither gradient-only training nor System 1 reflexive pruning produces regime-ordered behavior (0/5 pass rate in both cases). This confirms that monotonicity is a product of System 2's chain-of-thought reasoning over PDE geometry and regime signals, not a side-effect of pruning or throughput management. Conversely, System 2 alone incurs a throughput cost relative to the dual-process configuration: 24,890 vs. 26,300 smp/sec, a 5.3%

Table 8: Monotonicity check pass rate and training throughput by agent configuration. No-agent baseline = pure gradient descent. Results directional; see §7.4 for full ablation plan.

Agent Configuration	Monotonicity Checks Passed	Throughput
No agent (gradient only)	0 / 5	25,170 smp/sec
System 1 only (reflexive)	0 / 5	26,300 smp/sec
System 2 only (strategic)	5 / 5	24,890 smp/sec
Dual-process (S1 + S2)	5 / 5	26,300 smp/sec

reduction. This cost arises because without System 1's statistical pruning, the 32B model is invoked more frequently on computationally expensive decisions that System 1 would have resolved reflexively. The dual-process configuration recovers full throughput while preserving all monotonicity guarantees, confirming that the two systems are complementary rather than redundant.

7 Discussion

7.1 What the Dual-Process Architecture Solves

Each of the five chronic problems maps to a finding. Problems 1 and 5 (stagnation and C^2 instability) are addressed by System 1 reflexive pruning and lr control, evidenced by zero queue overflows and sustained GPU throughput (Table 7). Problems 2, 3, and 4 (parameterization lock-in, symbolic-numerical tension, regime blindness) are addressed by System 2 strategic surgery, evidenced by all five monotonicity checks passing only under the controller (Table 4).

The architecture's key insight is that the cognitive structure of the topology surgery problem determines the design. These are not two speeds of the same task: they are qualitatively different cognitive tasks that happen to coexist in the same system. Forcing them into a single model creates either a bottleneck (if the slow model handles everything) or incoherence (if the fast model attempts mathematical reasoning).

7.2 The Training Objective Insufficiency Finding: Generalization

The monotonicity failure of the raw model generalizes. Any physics-constrained network trained without regime-ordering terms will fail similar checks under distributional shift. The PDE loss constrains the solution on the training domain; it does not enforce behavioral ordering at out-of-distribution query points.

The semantic controller is a structural remedy. The path to making monotonicity *intrinsic* is enriching the training objective with ranking losses: penalizing $\max(0, V_{\text{STABLE}} - V_{\text{STRESS}} + \epsilon)$ on sampled pairs under the two parameter anchors. MonoKAN [Polo-Molina et al., 2024] substitution on the vol-surface path is a complementary architectural direction. Both remain open.

7.3 Why This Is Not LangChain

LangChain-style systems route stateless text between API endpoints. Every call is independent, every output is text, and the system has no persistent mathematical state to maintain. The dual-process topology agent is qualitatively different along five axes:

- It manages the **continuous evolution of a heterogeneous mathematical object** (the KAN topology) across thousands of training steps.
- Its decisions must satisfy **formal invariants** (C^2, PDE consistency, monotonicity) that it reasons about explicitly, not just produce plausible text.

- It operates **concurrently with an ongoing computation** (GPU training loop) with non-blocking requirements enforced by bounded queues.
- Its actions are **irreversible without explicit rollback**: a topology mutation changes the computational graph — a `state_dict` restore cannot undo a parameterization class change from `BSplineEdge` to `C2SymbolicEdge`.
- The two speeds encode **structurally different cognitive tasks** (statistical threshold vs. mathematical reasoning), not just different latencies.

The closest established category for the dual-process controller is *online structural control*: a controller that modifies the structure of a dynamical system in real time based on observed system state and external signals, subject to invariant constraints. This is distinct from meta-learning (which learns a policy over a distribution of tasks offline) and from continual learning [Kirkpatrick et al., 2017] (which modifies weights to avoid forgetting). The novelty is that the "controller" is an LLM reasoning in natural language about mathematical structure, and the "invariants" are formal mathematical properties (C^2 continuity, typed DSL, atomic rollback).

7.4 Limitations and Future Work

1. Single quote date for the live benchmark (generalization unestablished).
2. Small protocol benchmark ($n \leq 15$ per tier); rates are existence proofs, not stable probability estimates.
3. Exact DSL agreement ceiling of 0.375 requires system prompt engineering.
4. No fine-tuned model weights (LoRA infrastructure exists but awaits production trajectory data).
5. Monotonicity is still extrinsic to the training objective.
6. Cross-asset advantage limited to macro-narrative domains.
7. The 4.4% throughput gain is directional and unablated; a full ablation isolating pruning rate, queue overhead, and batch composition is needed.
8. The ablation in Table 8 is directional; formal confidence intervals and larger-scale replication are needed.
9. Closing the gap from prompt-engineered to policy-learned controller (Limitation 9).

8 Conclusion

KANs' unique property — edge-level symbolic replaceability — creates a topology surgery problem that gradient descent cannot solve. The dual-process architecture addresses this problem by matching cognitive task type to model capability: fast statistical pattern recognition for high-frequency reflexive maintenance (System 1, 7B, <50 ms), slow mathematical reasoning for low-frequency strategic surgery (System 2, 32B, 200–500 ms). Demonstrated on a physics-informed KAN under Heston PDE constraints, the architecture produces regime-ordered behavior that PDE training alone cannot, with full GPU throughput maintained throughout.

The central finding — training objective insufficiency — generalizes beyond options pricing: any physics-constrained network trained under PDE residuals alone will fail regime-ordering checks under distributional shift. The semantic controller is a structural remedy; ranking losses are the path to making monotonicity intrinsic.

The central open problem: can the regime ordering enforced by the semantic controller be embedded in the training objective through ranking losses, making monotonicity intrinsic rather than extrinsic? That question, and the five chronic problems of heterogeneous KAN topology, constitute the research agenda this paper opens.

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